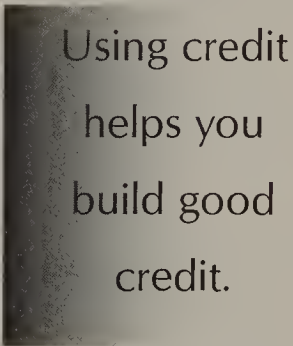


Frequent Updates

Your credit report and thus your credit score won't get updated unless there is activity happening. You do not want old bad information just sitting there. Get going and generate good information! Let it keep cranking every month.



Using credit
helps you
build good
credit.

Using credit helps you build good credit. For a credit score to get generated, you need to have some activity to spark that, and you need to have credit for at least six months. There has to be a timeframe to show a history and a pattern of payments. This will build a credit pattern that shows timely, consistent payments. A credit card with no activity happening does not do this. Open

a credit card and make one small monthly purchase and pay it off on time each month. You do not want to pay interest! Having regular activity means your credit report gets updated each month.

One of the tricks of the credit report is to always pay on time. It is so easy to let time get away from you, causing you to end up paying an account late. We all do it. The bills get put on the kitchen counter or the hallway table. The “to be paid” pile gets buried under other mail or the kid’s science project, and the next thing you know, you are making a late payment. That is how they trap us. One late payment and the credit score goes down the drain. And interest rates go up, up, up.

Installment Loan

Yes, I realize that may sound strange to tell you to get a loan, but credit scores are computed based on various criteria – one being that you have different kinds of loans, not just all credit cards. Once you have established a credit card and have a new credit path underway, a small installment loan may be wise. Borrow a small amount from your bank or credit union, and keep the length of the loan to one or two years. You do not want to be paying much interest; you want to be creating a new pattern of paying.